

BUDGETING & SAVINGS SAVINGS

What Are Savings? How to Calculate Your Savings Rate

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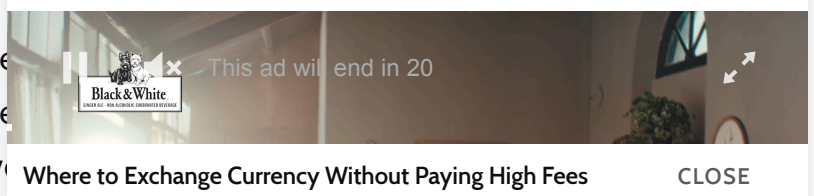
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DEFINITION:

Savings refer to the portion of income not spent and set aside for future use.

What Are Savings?

Savings is the money you have left over after paying for your expenses and spending from your earnings over time. It is the net surplus of funds you have after all your expenses are paid.



minimal returns. Savings can be grown through investing; However, invested funds are exposed to more risk.

KEY TAKEAWAYS

- Savings is how much money you have left after you pay your recurring expenses and living costs.
- Savings represent money that is otherwise idle and not being exposed to extra risk or spent.
- Savings are generally placed in accounts that are very safe but tend to offer very low rates of return.

Understanding Savings

Savings are the amount of income left over after spending. People may save for various life goals or aspirations such as an emergency fund, retirement, a child's college education, the down payment for a home, a car, vacation, or another future event.

If your bills and spending take most or all of your income, it's likely that you're living outside of your means. If you're not saving money, you run the risk of not being able to pay unforeseen expenses, causing you to incur more debt to pay for the emergency.

FAST FACT

The U.S. Bureau of Economic Analysis defines savings as income minus the taxes and sources of income minus the taxes and

How to Calculate Your Savings Rate

Your [savings rate](#) is the percentage of income you save rather than spend on consumption.

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Say that your net income is \$25,000 a year after taxes (called your disposable income), and over the course of the year, you also spend \$24,000 in bills and living expenses. Your total savings are \$1,000. Dividing savings by disposable income yields a savings rate of $4\% = (\$1,000 / \$25,000 \times 100)$.

4.6%

The average personal savings rate in the U.S. (as of March 2025).^[2]

Savings vs. Investing

The words [saving and investing](#) are sometimes used interchangeably—for instance, saving for retirement in a 401(k) plan—but this usage is technically incorrect. Retirement "saving" is more accurately investing, since money put away in these accounts is used to purchase securities, such as stocks, bonds, and mutual funds. When money is invested, it has a higher risk of loss, but that risk is offset by positive expected returns over time. It's worth noting that invested funds are not insured for up to \$500,000 from the failure of a Securities Investor Protection Corporation (SIPC) member brokerage. Funds in a savings account are insured by the Federal Deposit Insurance Corporation (FDIC) member financial institution (bank, per account category).^[3] [

Additionally, savings are highly liquid. Using a debit card to make a purchase first be sold into usable cash. The

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What Do You Mean by Savings?

Savings is the money you've earned that is left over after all of your spending and other expenses have been completed over a period.

What Is Considered Savings?

Savings is any amount of money you do not spend, but hold in an account or as cash.

What Is Saving and Why Is It Important?

Saving is the act of holding onto money for later use. It is important to save for many reasons, two of which are for emergencies and retirement.

The Bottom Line

Savings is the money left over from your disposable income after all your living and other expenses have been paid. Usually, you calculate it for a specified period, such as a month or a year. Often, people set aside savings for certain goals, including buying a home, paying for a child's college education, or growing a retirement nest egg.

To make your money grow faster, you may need to take a portion of your savings and invest it in securities, such as stocks, bonds, or mutual funds. It's best to have a financial plan that includes savings and investing for emergencies and to ensure a comfortable retirement.

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